

Micron Technology, Inc. MU

STANDARD (2-STAGE FCFE)

|            |             |          |        |
|------------|-------------|----------|--------|
| RATING     | FAIR VALUE  | PRICE    | UPSIDE |
| OVERWEIGHT | \$34,784.07 | \$948.80 | +3566% |

Discount rate 9.18% · data: yfinance

INVESTMENT THESIS

We initiate our independent valuation of **Micron Technology, Inc. (MU)** with a **OVERWEIGHT** stance and a fair value of **\$34,784.07**, +3566% against the current \$948.80. Fair value is derived using the **2-Stage Free Cash Flow to Equity**, selected for this company's sector — anchored to forward analyst estimates and discounted at a 9.2% cost of equity. Cash flows are sourced from analyst levered-FCF consensus (10y) then fade to 2.5%.

Micron Technology, Inc. generated \$37.38bn of revenue at a 26% EBIT margin in the latest fiscal year, having compounded the top line at 6.7% over the historical window. Market capitalisation stands at \$1.07trn with \$4.97bn of net debt.

Consistent with a long-duration cash-flow profile, 77% of the intrinsic value sits in the terminal value — the present value of cash flows beyond the explicit 10-year forecast. This is normal for a growth or infrastructure asset and underlines that the valuation rests on analyst growth expectations being realised.

By way of contrast, the 12-month analyst price target of \$1,486.00 (+57%) sits below our intrinsic fair value. These measure different things: our fair value is what the business is worth on its projected cash flows, while the price target is where analysts expect the shares to trade near-term. A persistent gap is normal and reflects how much of the intrinsic value the market is currently willing to pay for.

Fair value from a 2-stage Free Cash Flow to Equity model: analyst levered-FCF estimates over 10 years plus a Gordon terminal, discounted at the cost of equity.

| KEY DATA          |           |
|-------------------|-----------|
| Market cap        | \$1.07trn |
| Enterprise value  | \$1.08trn |
| Net debt          | \$4.97bn  |
| Net debt / EBITDA | 0.3x      |
| EV / EBITDA (LTM) | 58.2x     |
| P/E (LTM)         | 125.0x    |
| FCF yield (LTM)   | 0.0%      |
| Dividend yield    | 0.1%      |
| Beta              | 2.14      |
| Diluted shares    | 1,129mn   |

FINANCIAL SUMMARY & VALUATION

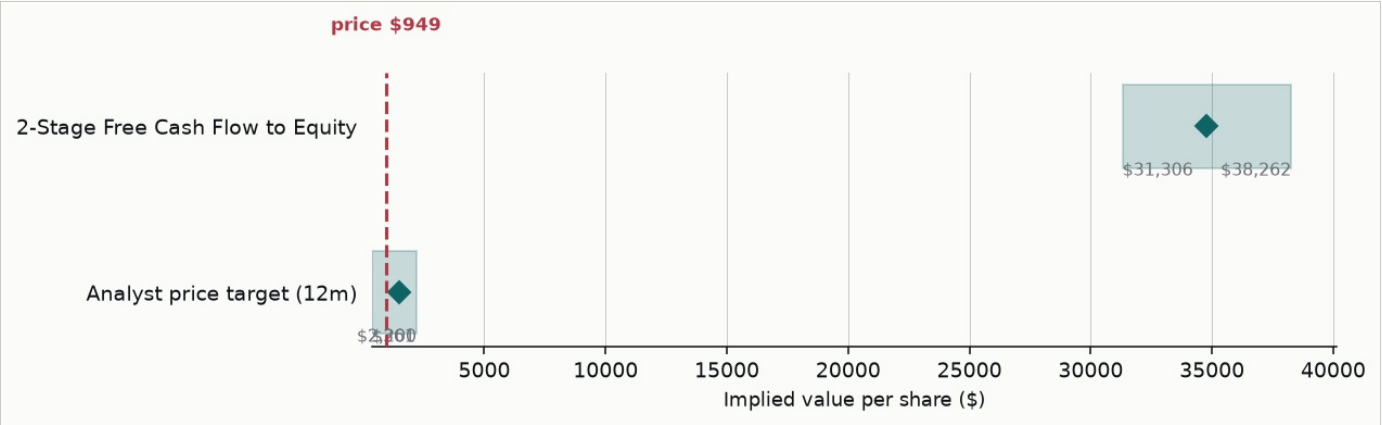
| \$, PER SHARE WHERE NOTED | FY2024A   | FY2025A   | FY2026E   | FY2027E   | FY2028E   | FY2029E   |
|---------------------------|-----------|-----------|-----------|-----------|-----------|-----------|
| Revenue                   | \$25.11bn | \$37.38bn | \$39.89bn | \$42.15bn | \$44.09bn | \$45.65bn |
| growth                    | +61.6%    | +48.9%    | +6.7%     | +5.7%     | +4.6%     | +3.6%     |
| EBITDA                    | \$9.58bn  | \$18.48bn | \$23.07bn | \$23.57bn | \$23.81bn | \$23.78bn |
| EBIT margin               | 5.2%      | 26.2%     | 26.2%     | 24.3%     | 22.4%     | 20.5%     |
| EPS                       | \$0.70    | \$7.59    | \$7.16    | \$7.00    | \$6.73    | \$6.36    |

| ESTIMATE   | 2022A    | 2023A  | 2024A  | 2025A  | 2026E  | 2027E  |
|------------|----------|--------|--------|--------|--------|--------|
| FCFF/share | (\$0.83) | \$0.44 | \$3.94 | \$3.62 | \$3.21 | \$2.73 |
| EV/EBITDA  | 112.4x   | 58.2x  | 46.7x  | 45.7x  | 45.2x  | 45.3x  |
| P/E        | 1363.4x  | 125.0x | 132.6x | 135.5x | 140.9x | 149.2x |
| FCF yield  | -0.1%    | 0.0%   | 0.4%   | 0.4%   | 0.3%   | 0.3%   |

Multiples struck at the current price/EV against each year's estimates. Forecast EPS approximates net income as (EBIT – LTM interest) × (1–t).

### VALUATION SUMMARY

EXHIBIT 1 • FAIR VALUE VS. PRICE



| ESTIMATE                                             | VALUE / SHARE      | UPSIDE        |
|------------------------------------------------------|--------------------|---------------|
| <b>2-Stage Free Cash Flow to Equity (fair value)</b> | <b>\$34,784.07</b> | <b>+3566%</b> |
| Analyst price target (12m consensus)                 | \$1,486.00         | +57%          |

The headline fair value is the intrinsic valuation (Simply Wall St methodology, analyst-driven cash flows). The analyst price target is a 12-month price forecast shown for contrast — it answers a different question (where the market may trade the stock) and is not part of the intrinsic value.

### FINANCIAL MODEL — HISTORICALS & ANALYST FORECAST

Reported actuals (A) followed by the analyst-estimate forecast (E). The **Levered FCF** column is the exact cash-flow stream discounted in the intrinsic valuation below — the P&L, the cash flow and the fair value are one reconciled chain.

| FISCAL YEAR | REVENUE                        | GROWTH  | EBIT       | MARGIN | NET INCOME | EPS                          |
|-------------|--------------------------------|---------|------------|--------|------------|------------------------------|
| 2022A       | \$30.76bn                      | —       | \$9.71bn   | 31.6%  | \$8.69bn   | \$7.74                       |
| 2023A       | \$15.54bn                      | -49.5%  | (\$5.41bn) | -34.8% | (\$5.83bn) | (\$5.34)                     |
| 2024A       | \$25.11bn                      | +61.6%  | \$1.30bn   | 5.2%   | \$778mn    | \$0.70                       |
| 2025A       | \$37.38bn                      | +48.9%  | \$9.81bn   | 26.2%  | \$8.54bn   | \$7.59                       |
| 2026E       | \$129.59bn <a href="#">[A]</a> | +246.7% | \$34.01bn  | 26.2%  | \$82.81bn  | \$73.32 <a href="#">[A]</a>  |
| 2027E       | \$234.24bn <a href="#">[A]</a> | +80.8%  | \$61.47bn  | 26.2%  | \$169.00bn | \$149.64 <a href="#">[A]</a> |
| 2028E       | \$241.27bn                     | +3.0%   | \$63.32bn  | 26.2%  | \$55.12bn  | \$48.80                      |
| 2029E       | \$248.51bn                     | +3.0%   | \$65.22bn  | 26.2%  | \$56.77bn  | \$50.27                      |
| 2030E       | \$255.97bn                     | +3.0%   | \$67.17bn  | 26.2%  | \$58.48bn  | \$51.78                      |
| 2031E       | \$263.64bn                     | +3.0%   | \$69.19bn  | 26.2%  | \$60.23bn  | \$53.33                      |
| 2032E       | \$271.55bn                     | +3.0%   | \$71.26bn  | 26.2%  | \$62.04bn  | \$54.93                      |
| 2033E       | \$279.70bn                     | +3.0%   | \$73.40bn  | 26.2%  | \$63.90bn  | \$56.58                      |
| 2034E       | \$288.09bn                     | +3.0%   | \$75.60bn  | 26.2%  | \$65.81bn  | \$58.27                      |
| 2035E       | \$296.73bn                     | +3.0%   | \$77.87bn  | 26.2%  | \$67.79bn  | \$60.02                      |

Bridge to levered free cash flow (what the DCF discounts)

| FISCAL YEAR | REVENUE    | NET INCOME | LEVERED FCF | FCF MARGIN | SOURCE  |
|-------------|------------|------------|-------------|------------|---------|
| 2026E       | \$129.59bn | \$82.81bn  | \$82.81bn   | 63.9%      | Analyst |
| 2027E       | \$234.24bn | \$169.00bn | \$169.00bn  | 72.1%      | Analyst |
| 2028E       | \$241.27bn | \$55.12bn  | \$326.00bn  | 135.1%     | Analyst |
| 2029E       | \$248.51bn | \$56.77bn  | \$592.43bn  | 238.4%     | Analyst |
| 2030E       | \$255.97bn | \$58.48bn  | \$1.01trn   | 394.7%     | Analyst |
| 2031E       | \$263.64bn | \$60.23bn  | \$1.61trn   | 610.8%     | Analyst |
| 2032E       | \$271.55bn | \$62.04bn  | \$2.39trn   | 878.8%     | Analyst |
| 2033E       | \$279.70bn | \$63.90bn  | \$3.27trn   | 1169.2%    | Analyst |
| 2034E       | \$288.09bn | \$65.81bn  | \$4.12trn   | 1428.5%    | Analyst |
| 2035E       | \$296.73bn | \$67.79bn  | \$4.72trn   | 1590.5%    | Analyst |

“A” marks figures taken directly from analyst consensus; unmarked forecast figures are derived by holding the latest reported margin stable. The Levered FCF column ties exactly to the 10-year cash-flow forecast in the intrinsic valuation, so every number traces from revenue through to the \$34,784.07 fair value.

RATIO ANALYSIS — LEVERAGE, COVERAGE & RETURNS

| METRIC                      | FY2022A | FY2023A | FY2024A | FY2025A |
|-----------------------------|---------|---------|---------|---------|
| Net debt / EBITDA           | -0.1x   | 1.7x    | 0.6x    | 0.3x    |
| EBIT / interest             | 51.4x   | -13.9x  | 2.3x    | 20.6x   |
| ROE                         | 17.4%   | -13.2%  | 1.7%    | 15.8%   |
| ROIC (NOPAT/IC)             | 16.3%   | -9.0%   | 2.1%    | 13.4%   |
| FCF conversion (FCFF/NOPAT) | 21%     | 165%    | -68%    | -3%     |
| Capex / D&A                 | 1.70x   | 0.99x   | 1.08x   | 1.90x   |

INTRINSIC VALUATION — 2-STAGE FREE CASH FLOW TO EQUITY

Fair value is built from **forward analyst estimates**, not historical cash flow — the methodology used by Simply Wall St. The model is selected by sector: a 2-stage cash-flow model for most companies, Excess Returns for financials, AFFO for REITs, or a dividend model for consistent payers. Every figure below is traceable.

Fair value per share

\$34,784.07

+3566% vs price \$948.80

Discount rate (cost of equity) 9.18% · terminal value 77% of total · source: analyst levered-FCF consensus (10y) then fade to 2.5%

10-year cash-flow forecast

| YEAR | CASH FLOW (\$MN) | SOURCE  | DISCOUNT FACTOR | PRESENT VALUE (\$MN) |
|------|------------------|---------|-----------------|----------------------|
| 2026 | 82,813           | Analyst | 0.916           | 75,847               |
| 2027 | 169,001          | Analyst | 0.839           | 141,766              |
| 2028 | 326,004          | Analyst | 0.768           | 250,466              |
| 2029 | 592,433          | Analyst | 0.704           | 416,878              |
| 2030 | 1,010,399        | Analyst | 0.644           | 651,185              |
| 2031 | 1,610,329        | Analyst | 0.590           | 950,536              |
| 2032 | 2,386,515        | Analyst | 0.541           | 1,290,210            |
| 2033 | 3,270,131        | Analyst | 0.495           | 1,619,212            |

|      |           |         |       |           |
|------|-----------|---------|-------|-----------|
| 2034 | 4,115,468 | Analyst | 0.454 | 1,866,379 |
| 2035 | 4,719,417 | Analyst | 0.415 | 1,960,250 |

### Valuation build

|                                 |                      |
|---------------------------------|----------------------|
| PV of next 10 years' cash flows | <b>\$9,222.73bn</b>  |
| Terminal value (Gordon)         | <b>\$72,376.42bn</b> |
| PV of terminal value            | <b>\$30,062.16bn</b> |
| Total equity value              | <b>\$39,284.89bn</b> |
| Shares outstanding              | <b>1,129mn</b>       |
| Value per share                 | <b>\$34,784.07</b>   |
| Discount to fair value          | <b>-3566.1%</b>      |

### Discount rate — cost of equity

|                                                             |              |
|-------------------------------------------------------------|--------------|
| Risk-free rate (5y avg 10y govt bond)                       | <b>3.60%</b> |
| Equity risk premium (Damodaran)                             | <b>4.60%</b> |
| Industry unlevered beta (technology)                        | <b>1.200</b> |
| Debt / equity                                               | <b>1.4%</b>  |
| Levered beta = $\text{unlev} \cdot (1 + (1 - t) \cdot D/E)$ | <b>1.214</b> |
| Levered beta (clamped 0.8–2.0)                              | <b>1.214</b> |
| Cost of equity = $R_f + \beta \cdot \text{ERP}$             | <b>9.18%</b> |

Cost of equity = risk-free rate + levered beta × equity risk premium. The risk-free rate is a 5-year average of the 10-year government bond (not the spot rate, to avoid volatile valuations). Beta is built bottom-up from the industry unlevered beta, re-levered to the company's capital structure and clamped to a practical 0.8–2.0 band (Damodaran).

Levered FCF to equity from analyst consensus, discounted at the cost of equity over 10 years plus a Gordon terminal. The forward estimates are the central input — history is used only where estimates are absent.

### FACTOR SENSITIVITY MAP — WHAT MOVES THIS STOCK

Exposure levels are scored from the model and the historicals, with the mechanism spelled out.

| TYPE  | FACTOR                         | EXPOSURE | EVIDENCE                                                          | WHY / MECHANISM                                                                                                                                                                                                                                |
|-------|--------------------------------|----------|-------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Macro | Interest rates / discount rate | MEDIUM   | 75bps of WACC $\approx$ \$2.26/sh (7%); TV = 68% of EV            | Long-duration cash flows: the further out the value sits (terminal-heavy), the more a shift in rates or the equity risk premium re-prices the stock, independent of operations.                                                                |
| Macro | Economic cycle / demand        | HIGH     | Revenue growth volatility $\sigma$ = 49.6% over 3y                | Historical top-line dispersion is the cleanest read on cyclicalty: a stable compounding base decouples from GDP; a volatile one imports the macro cycle into earnings.                                                                         |
| Macro | Inflation / input costs        | HIGH     | –100bps EBIT margin $\approx$ –\$2.50/sh; margin $\sigma$ = 26.1% | Cost pass-through is the test: firms with pricing power hold margin through inflation; historical margin volatility shows how much of past cost shocks reached the P&L.                                                                        |
| Macro | Credit & refinancing           | LOW      | Net debt/EBITDA = 0.3x; EBIT/interest = 20.6x                     | Leverage converts operating shortfalls into equity stress: the higher the stack, the more a slowdown or a repricing of debt costs flows straight to the equity holder.                                                                         |
| Micro | Competitive erosion            | HIGH     | ROIC–WACC spread = 31bps                                          | Excess returns invite entry: the wider the spread, the bigger the prize for competitors — but also the bigger the buffer before growth stops creating value. A thin spread means small competitive slippage flips growth to value destruction. |
| Micro | Capital intensity              | MEDIUM   | Capex/D&A = 1.30x; capex =                                        | Above 1x, the business must keep buying its own growth — FCF conversion stays hostage to the reinvestment cycle; below 1x, depreciation overstates                                                                                             |

|       |                                  |                                                    |                                                                                                                                                                                    |
|-------|----------------------------------|----------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|       |                                  | 41.1% of sales                                     | true capital needs and cash conversion runs ahead of earnings.                                                                                                                     |
| Micro | Pricing power / margin stability | HIGH EBIT margin $\sigma$ = 26.1% (range -35%–32%) | Stable margins across cycles are the fingerprint of pricing power; wide swings say the company is a price-taker whose profitability belongs to the environment, not the franchise. |

CATALYSTS & WHAT EACH LEVER IS WORTH

- **Cost of capital:** every 75bps of WACC moves fair value by ≈\$2.26/share (7%). Rate path and the equity risk premium are the single biggest swing factor.
- **Terminal growth:** 50bps of perpetuity growth is worth ≈\$0.12/share — the market's read on the company's long-run competitive position.
- **Operating margin:** each 100bps of EBIT margin across the forecast is worth ≈\$2.50/share — watch pricing power, mix and cost discipline in quarterly prints.
- **Top-line delivery:** our base assumes 6.7% year-one growth fading to 2.5%; sustained beats/misses versus that glide path are the cleanest re-rating trigger either way.

KEY RISKS

- Single third-party data source: restatements, non-recurring items or classification differences can shift the output.

**Methodology & disclaimer.** Generated by an automated, sector-aware valuation engine from public data (yfinance). MU was classified as **Standard (2-Stage FCFE)** and valued with the Simply Wall St methodology: a sector-appropriate intrinsic model (2-stage cash flow to equity, excess returns for financials, AFFO for REITs, or a dividend model) anchored to forward analyst estimates and discounted at the cost of equity. Terminal value uses the Gordon growth method. Forward cash flows come from analyst consensus where available, extrapolated from reported figures otherwise — they are not a substitute for fundamental judgement. Nothing here is investment advice, a recommendation, or an offer to transact. Do your own due diligence.